Balance sheet

A balance sheet is a financial statement that shows what a business is worth at a specific point in time. Its primary purpose is to show assets, liabilities, and equity (capital), rather than financial results.

How it works

The balance sheet essentially shows what the company owns, what it owes, and how much is invested in it. It is based on the accounting formula, sometimes called the balance-sheet equation, which is the basis of double-entry bookkeeping. This shows the relationship between assets, liabilities, and owners' capital—what the company owns (assets) is purchased either through debt (liability) or investment (capital). The equation always balances, as everything a company owns has to have been bought with its owner's funds or through borrowing.

NEED TO KNOW

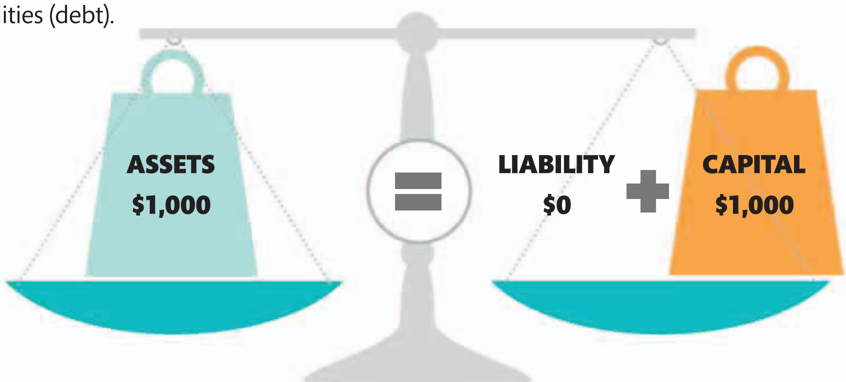
- **Deferred income** Income a company receives for goods or services that have not yet been delivered or provided. Until income is received it is recorded on a balance sheet as a liability.

The balance-sheet equation

As the name suggests, the balance sheet must always balance. This is because everything the business owns (its assets) must be offset against the equivalent capital (or equity) and liabilities (debt).

Company has no liabilities

For example, a young business may have assets of **$1,000**. It currently has no liabilities so its capital is equal to its assets—that is, it is the amount of equity the owners or shareholders have invested in the business. Using the accounting formula, the equation would look like this:



Company incurs $400 in liabilities

After spending **$400** on, for example, an illuminated sign for the storefront, the owner incurs **$400** in liabilities and so the formula changes. However, since the sign is worth **$400**, and the owner has **$600** remaining, the equation remains balanced—as it always does.